

Afro Deli Woodbury — Investor One-Pager

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\$300K All-Equity Plan | Conservative Edition

Concept: Afro Deli franchise — Woodbury, MN **Format:** Fast-casual African-Mediterranean fusion **Space:** 1,500-1,800 sq ft (second-gen restaurant) **Target Open:** 2027

Investment Overview

Total Raise	\$300,000
Structure	100% equity (no debt)
Owner Contribution	TBD (proposed: \$100K)
Investor Contribution	TBD (proposed: \$200K)
Use of Funds	\$278K startup + \$22K working capital
Projected Yr 1 Revenue	\$637,650
Projected Yr 1 EBITDA	\$93,478
Year 1 ROI on Total Capital	31%
Break-Even	Month 2

Budget Breakdown

Category	Cost	Notes
Franchise Fee	\$35,000	Non-negotiable
Build-Out	\$120,000	Second-gen space with existing kitchen
FF&E	\$60,000	Used/leased equipment
Permits, Licenses, Legal	\$12,000	
Technology & POS	\$8,000	

Category	Cost	Notes
Initial Inventory	\$15,000	
Pre-Opening Marketing	\$15,000	Build awareness before Day 1
Professional Fees	\$8,000	
Insurance (Year 1)	\$5,000	
Working Capital Reserve	\$22,000	3-4 month cushion
TOTAL	\$300,000	

Monthly Projections — Conservative Edition

50 → 185 covers/day • \$15 avg ticket • 26 days/mo • 29% COGS

Month	Covers	Revenue	EBITDA	Cumulative CF
M1	50	\$19,500	-\$1,965	-\$1,965
M2	70	\$27,300	\$297	-\$1,668
M3	95	\$37,050	\$3,124	+\$1,456
M4	115	\$44,850	\$5,386	+\$6,843
M5	130	\$50,700	\$7,083	+\$13,926
M6	145	\$56,550	\$8,780	+\$22,706
M7	155	\$60,450	\$9,910	+\$32,616
M8	165	\$64,350	\$11,042	+\$43,658
M9	170	\$66,300	\$11,607	+\$55,264
M10	175	\$68,250	\$12,172	+\$67,437
M11	180	\$70,200	\$12,738	+\$80,175
M12	185	\$72,150	\$13,304	+\$93,478

Return Scenarios

Scenario A: Conservative Base Case

Metric	Year 1	Year 2 (Est.)
Revenue	\$637,650	\$780K-\$820K
EBITDA	\$93,478	\$140K-\$155K

Metric	Year 1	Year 2 (Est.)
EBITDA Margin	14.7%	~18-19%
Return on \$300K	31%	47-52%
Cumulative CF	+\$93,478	+\$235K-\$250K

Scenario B: Stress-Tested (-20% covers, 32% COGS)

Metric	Year 1
Revenue	\$511,680
EBITDA	+\$36,090
EBITDA Margin	7.1%
Return on \$300K	12%
Cumulative CF	+\$36,090

Capital Structure Options

Option 1: 50/50 Split (\$150K each)

- Each side gets 50% equity
- Yr 1 return per \$150K: **\$46,739 (31%)**
- Year 2 projected: **\$72K-\$77K (48-51%)**

Option 2: Kofi \$100K / Investors \$200K

- Kofi: 33.3% equity → Yr 1: **\$31,159**
- Investors: 66.6% equity → Yr 1: **\$62,319 (31% on \$200K)**
- Could layer in a 2x return preference for investors

Option 3: Preferred Return + Equity Split

- Investors get 8% preferred return (\$16K/yr on \$200K)
- Remaining profit split 50/50
- Yr 1: Investors get **\$16K + \$38,739 = \$54,739 (27.4%)**
- Yr 1: Kofi gets **\$38,739 (38.7% on \$100K)**
- Math: $\$93,478 - \$16,000 \text{ pref} = \$77,478 \text{ remaining} \div 2 = \$38,739 \text{ each } \checkmark$

Competitive Advantages

- **Proven model** — 3 existing Twin Cities locations, 12+ years operating
- **No direct competition** in Woodbury — zero African-Mediterranean concepts
- **Existing catering infrastructure** — 25.7% of sales at current locations
- **Woodbury demographics** — \$117K median income, 12% growth, 30-40% daytime surge
- **Halal positioning** — growing demand, minimal competition

Key Risks & Mitigants

Risk	Mitigation
Slow ramp (50% of covers)	Conservative projections already 15% below existing loc. averages
Build-out cost overrun	Second-gen space required; lease contingent on kitchen inspection
Equipment failure	\$5K repair reserve in working capital; leasing options for key items
Catering slower than expected	Not dependent on catering — even at 0% catering, lunch traffic fills

Use of Funds Summary

\$278,000 – Startup Costs (one-time)
\$ 22,000 – Working Capital Reserve

\$300,000 – Total

No debt service = all cash flow goes to operations and owners.

Prepared July 2026 | Based on Afro Deli Woodbury Franchise Business Plan (Conservative Edition) All projections are estimates and subject to FDD verification, site selection, and final lease terms.